Zara Business Analytics

Three problems, three tools, one retail story

EXECUTIVE SUMMARY / ANMOL AGARWAL, BUSINESS ANALYST

01

EXCEL

Store performance

02

SQL

Pricing and margin

03

POWER BI

Customers and sales

35 STORES / 7 COUNTRIES

3.3M TRANSACTION LINES

3 PROBLEMS / ONE STORY

SIMULATED RETAIL DATASET FOR TEACHING | ALL MONEY IN USD

Three leaders, three problems

01 EXCEL

Head of Store Operations

THE PROBLEM

Facing a 3x gap in sales per employee between stores while deciding where to put staff hours, which results in weak stores being cut back and falling further behind.

HOW MIGHT WE

Help store managers put their people on the busiest days, so that weaker stores sell more per employee without adding labour cost?

02 SQL

Head of Merchandising

THE PROBLEM

Facing markdowns of unknown value while trying to protect gross margin, which results in discounts that may only lower the price of sales that would have happened anyway.

HOW MIGHT WE

Help Merchandising see, for every sale phase, whether it earned its margin, so that depth, timing and categories are chosen on evidence?

03 POWER BI

Chief Commercial Officer

THE PROBLEM

Facing many first-time customers who never buy again while trying to grow sales, which results in marketing spend that does not build a loyal base.

HOW MIGHT WE

Help first-time customers find a reason to come back, so that more of them buy again within 90 days?

The answer up front: three problems, one pattern

EXECUTIVE SUMMARY

STORES | Excel

3x

gap in sales per employee between the best and worst store

The gap is how many customers each employee serves, not basket size. Move staff hours to Fridays, Saturdays and December, and rebalance headcount.

MARGIN | SQL

-40.8%

gross margin on lines sold at 70% off (60.6% at full price)

Only the first phase of a sale pays for itself. Cap markdowns at 50% (Kids 40%) and stop starting the US/UK Winter Sale early.

CUSTOMERS | Power BI

51%

of customers buy only once; sale-season first-timers come back least

Give first-time sale shoppers a reason to return at full price, and grow the US and Portugal.

Sales are flat, customers are growing

CONTEXT | WHOLE BUSINESS

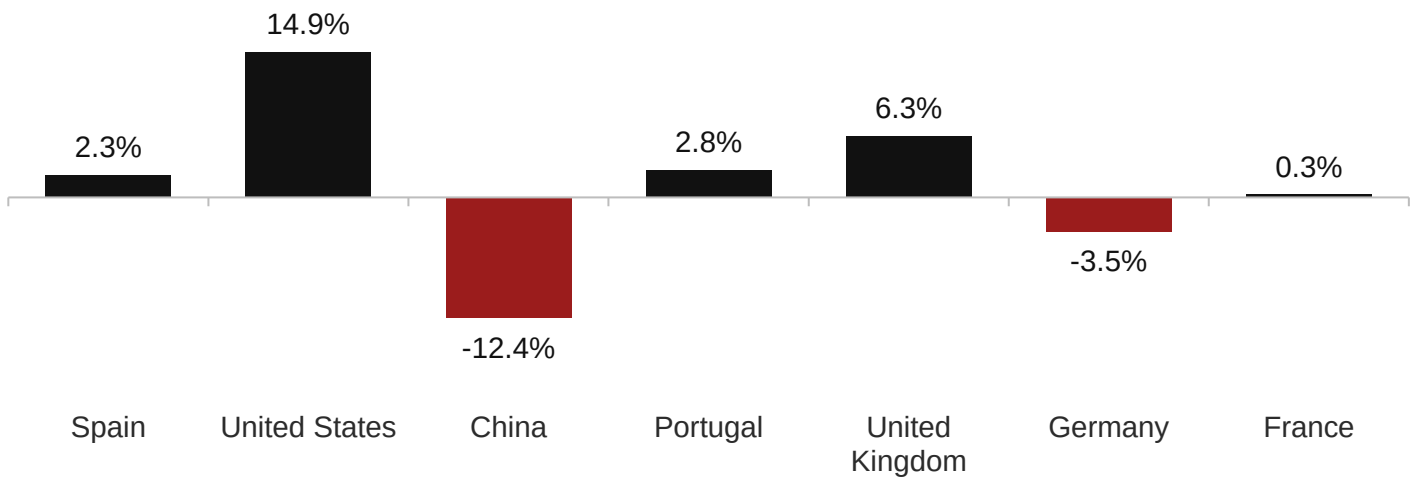
$126.6M
net sales, Jan 2023 - 18 Mar 2025

+1.3%
net sales growth in 2024 ($57.5M to $58.2M)

+19.3%
active customers in 2024 (302K to 361K)

$190 → $161
spend per customer, 2023 to 2024

Net sales growth by country, 2024 vs 2023 (%)



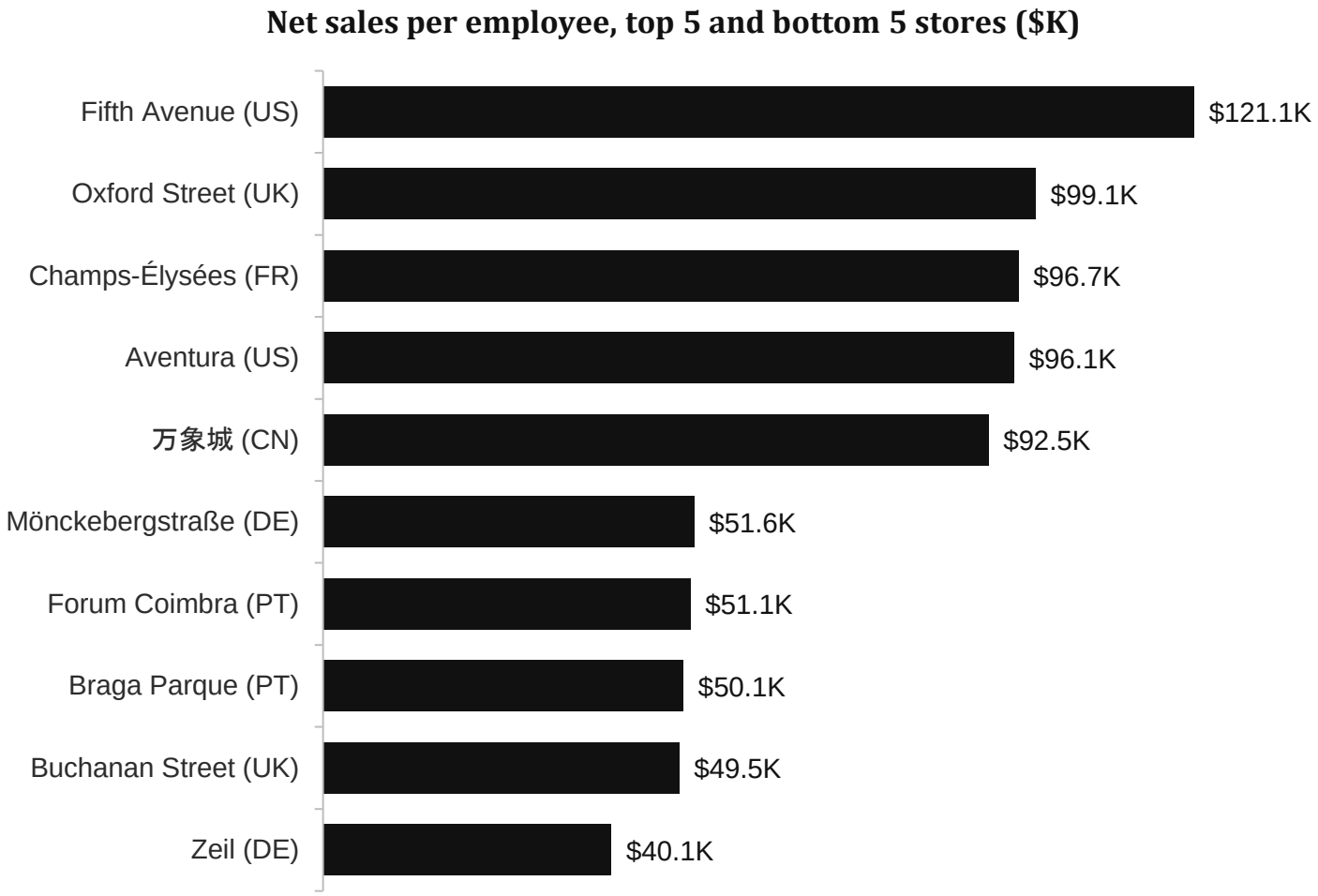
WHAT THIS MEANS

Zara is winning customers but each spends less, so growth depends on bringing them back.

The US is growing fastest; China and Germany are shrinking; Spain, the home market, is flat.

Weak stores serve fewer customers per employee

TOP INSIGHT | PROBLEM 1: STORE PERFORMANCE AND WORKFORCE (EXCEL)



1,857

invoices per employee at Fifth Avenue

495

at Zeil, though Zeil's basket is bigger ($81 vs $65)

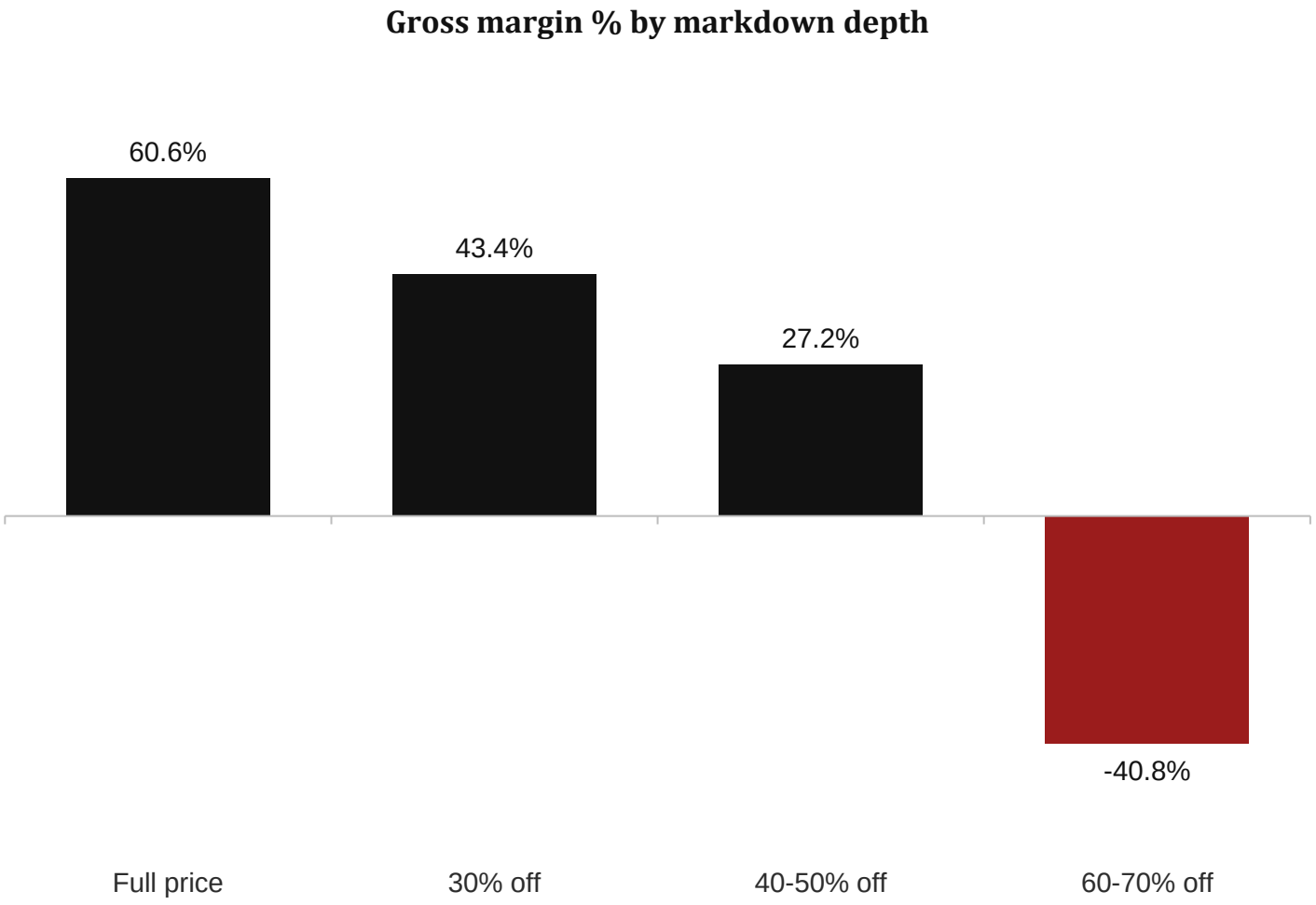
WHY IT MATTERS

Saturday carries 22-29% of a week's sales; December is about twice February.

Seven stores carry 13-19 more staff than their sales support; the busiest flagships run 16-34 short.

Markdowns deeper than 50% lose money

TOP INSIGHT | PROBLEM 2: PRICING, PROMOTIONS AND MARGIN (SQL)



WHY IT MATTERS

19.6% of sale lines are marked down but they bring only 13.4% of net sales.

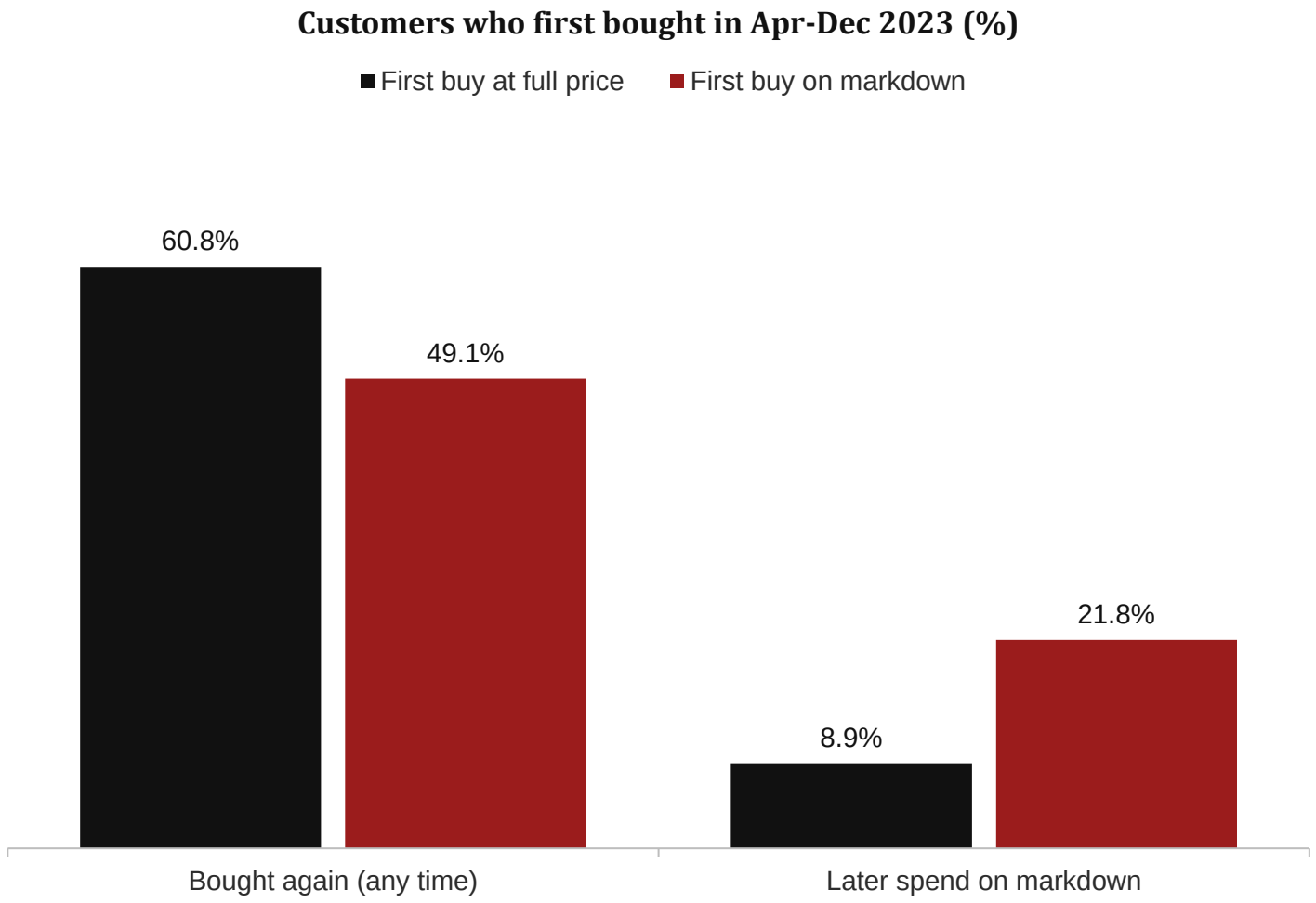
Phase 1 of the Summer Sales earns more margin per day than normal trading; phases 2 and 3 never pay for their discount.

Black Friday pulled US/UK full-price sales forward: -14.4% in the three weeks before Christmas, while other countries grew 2.8%.

Coats, knitwear and kids' wear end up on markdown most (25-29% of units).

First-time sale shoppers come back less

TOP INSIGHT | PROBLEM 3: CUSTOMER AND SALES PERFORMANCE (POWER BI)



28.7%

of first-time buyers return within 90 days

60.8%

of revenue from the top 20% of customers

WHY IT MATTERS

Customers who return within 90 days spend $363 on average against $124 for those who do not.

New customers arrive in waves in January, July and December, the moments to win them back.

Seven actions, in priority order: quick wins first

PRIORITISED RECOMMENDATIONS | ALL THREE PROBLEMS | IMPACT AND EFFORT

#	Action	Problem	Evidence	Expected effect	Effort
1	Cap markdowns at 50% (Kids 40%); stop the 70% phase	Margin	70% off = -40.8% margin	≈ $220K margin a year	Low
2	Move staff hours to Fri-Sat and December	Stores	Sat 22-29% of weekly sales	More invoices per employee at peak	Low
3	Full-price voucher for first-time sale shoppers	Customers	Repeat 21.7% vs 30.7%	≈ 5,400 more repeat customers a year	Medium
4	Black Friday on overbought lines only; US/UK Winter Sale back to 26 Dec	Margin	US/UK full price -14.4%	Protects pre-Christmas full price	Low
5	Rebalance staff from 7 surplus stores to 5 short flagships	Stores	Gaps +19 to -34 staff	Sales per employee up in flagships	High
6	Buy 10% less of coats, knitwear, kids shoes, girls'	Margin	25-29% of units on markdown	≈ $0.5M less discount a year	High
7	Fix German returns and the Z1975 jeans fit	Stores / Margin	Germany 15.5%; Z1975 2x jeans	≈ 1,600 fewer returns from one style	Low

Quick wins: 1, 2, 4 and 7 (low effort, no new budget). Big bets: 3 (17-week A/B test), 5 and 6 (one season).

Six numbers leadership should track every week

METRICS TO TRACK | BASELINE IS 2024 UNLESS STATED

Metric	Owner	Baseline	Target	Moved by action
Repeat customers per quarter (North Star)	Chief Commercial Officer	72,654 a quarter	+1,350 a quarter in year 1	3
90-day repeat rate of first-time sale shoppers	CRM	21.7%	24.7%	3
Net sales per employee per month	Head of Store Operations	$2,779	+5% in pilot stores	2, 5
Gross margin %	Head of Merchandising	56.9%	57.5% or more	1, 4, 6
Share of units sold on markdown	Head of Merchandising	19.6%	17% or less	1, 6
Return rate (returned value / gross sales)	Store Operations and Product	11.2% (Germany 15.5%)	Germany at the company average	7

Each metric is already built: in the Excel scorecard (stores), the promo_report SQL procedure (margin) and the Power BI dashboard (customers).

Next 90 days

NEXT STEPS

Days 1-30

- Set the 50% markdown cap (Kids 40%) for the next sale
- Roster pilot: move hours to Fri-Sat in 4 stores
- Launch the voucher A/B test in January sale

Days 31-60

- Review pilot invoices per employee weekly
- Move the US/UK Winter Sale start back to 26 Dec
- Check the Z1975 jeans fit and German returns

Days 61-90

- Read the A/B test at 90 days; roll out if it holds
- Agree headcount moves with HR for the busiest flagships
- Cut next season's buy for the four overbought lines

Decision needed today: approve the markdown cap and the roster pilot, which need no new budget.